

Chapter 2
Final Accounts

1. A book keeper has submitted you the following Trail Balance. You are required to prepare trading account, profit & Loss account for the year ending 31st March 2023 & Balance Sheet as on same date.

Trial Balance as on 31st March 2023

Debit Balance	₹ .	Credit Balance	₹ .
Cash in hand	3,000	Capital	76,1000
Purchases	8,99,000	Sales	11,06,000
Cash at bank	88,500	Creditors	1,95,000
Fixtures and fittings	22,500	Bills payables	1,87,500
Freehold premises	1,50,000	Discount received	44,500
Lighting & heating	6,500		
Bills receivables	82,500		
Return inwards	3,000		
Salaries	1,07,500		
Debto₹	5,70,000		
Opening stock	3,00,000		
Printing	22,500		
Rent	19,000		
Discount allowed	20,000		
	22,94,000		22,94,000

Additional Information:

- a) Closing stock at the end of year amount ₹ . 5,00,000
 - b) Outstanding wages was ₹ . 1,00,000
 - c) Depreciation charges at the rate of 10% on fixtures.
2. Given below is the Trial Balance of M/s. K.N. Fulari as on 31st March 2024, Prepare Trading, Profit and Loss A/C for the year ended 31st March 2024 and Balance sheet as on the date.

Trial Balance as on 31st March 2024

Particulars	Dr.(Amt.₹)	Cr.(amt.₹)
Stock on (1-4-2023)	30,000	
Purchase and sales	75,000	1,25,000
Drawings	2,000	

Returns	2,400	1,000
Sundry Expenses	600	
Wages	3,500	
Salaries	5,600	
Traveling expenses	1,600	
Advertisement	600	
Rent and Taxes	2,800	
Insurance	2,000	
Bad debts	600	
Discount	1,300	
Building	50,000	
Machinery	15,000	
Furniture	10,000	
Cash	3,000	
Capital		83,000
R.D.D.		600
Bank overdraft		6,400
Debtors and creditors	40,000	30,000
	2,46,000	2,46,000

Additional Information:

- i) Closing stock is valued at ₹45,000
- ii) Insurance is paid upto the month end 30th June 2024.
- iii) Write off ₹1000 for Bad debts and provide R.D.D. at 5% on debtors. Create Reserve for discount on debtors at 2% and discount on creditors at 3%.
- iv) Depreciate Building by 5%, machinery by 10% and Furniture by 15% P.a.
- v) Travelling expenses include ₹400 for private travelling of the proprietor.

3. From the following trial balance of Mr. Nadeem prepare trading and profit and loss account for the year ended 31st March 2022 and the balance sheet as on the date.

Particulars	Debit	Credit
Opening stock	12,00,000	
Salaries	1,20,000	
Freight	50,000	
Purchases	12,00,000	
Bills Receivables	12,000	
Rent	75,000	
Sales		25,30,000
Reserve for bad debts		10,000
Sundry Creditors		3,26,000

Return Outwards		15,000
Bad debts	3,000	
Plant & Machinery	2,00,000	
Travelling Expenses	60,000	
Commission		10,000
Repairs to plant	12,000	
Cash at Bank	24,000	
Building	5,00,000	
Return Inwards	10,000	
Sundry Debtors	3,50,000	
Office Expenses	50,000	
Drawings	65,000	
Capital		5,00,000
Bank Loan		5,40,000
	<u>39,31,000</u>	<u>39,31,000</u>

Consider the following : -

- Closing Stock A 3,50,000
- Depreciation Plant & Machinery 10% and Buildig 5% p.a.
- Provide Reserve @ 10% for bad debts.
- Make a provision for unpaid salaries A 12,000/-
- Office expenses due but not paid A 3,000/-

4. From the following Trial Balance of Shri Vijay as on 31-3-2023 and additional information, Prepare Trading and profit and loss Account and Balance Sheet as at that date:

Trial Balance

Particulars	Dr. (₹)	Cr. (₹)
Opening Stock	10,000	
Capital		90,000
Debtors and creditors	12,000	7,000
Purchase and sales	80,000	1,40,000
Return	3,000	2,000
Carriage	1,600	
Wages and salaries	5,000	
Commission		2,600
Machinery	16,000	
Furniture	4,000	
Bad debts	1,600	

Provision For Doubtful Debts		2,000
B/R and B/P	6,000	1,400
Taxes and Insurance	5,800	
Land & Buildings	80,000	
Bank	10,000	
Drawings	10,000	
	2,45,000	2,45,000

Additional Information:

- Value of closing stock as on 31/3/2023 is ₹ 8,000
 - Insurance prepaid is ₹ 400 and wages outstanding is ₹ 200
 - Provide for doubtful debts on the debtors @ 10%
 - Depreciate machinery @10% and furniture @15%
 - Goods of the value of ₹1,000 were taken by the proprietor for his own use but no entry was made in the books of account.
5. The following trial balance has been extracted from the books of Rajesh on 31st March, 2021.

Trial Balance as on 31st March 2021

Debit Balance	Amount ₹	Credit Balance	Amount ₹
Drawings	44,000	Capital	1,76,000
Plant and Machinery	1,00,000	Sales	4,72,000
Opening stock	20,000	Provision for bad and doubtful debts	2,000
Purchases	2,70,000	Bank overdraft	20,000
Wages	62,000	Discount received	6,000
Salaries	70,000	Sundry creditors	24,000
Insurance	45,000		
Rent and taxes	19,000		
Sundry debtors	70,000		
	7,00,000		7,00,000

The following adjustments are to be made:

- i) Stock on 31st March 2021 was ₹ 28,000.
- ii) Provision for doubtful debts is to be maintained at 5% on sundry debtors.
- iii) Depreciate plant and machinery at 20%.

As an Accountant you are required to prepare trading and profit and loss account for the year ended 31st March 2021 and a balance sheet as on that date.

6. The following trial balance has been extracted from the books of M/s Jay & Co on 31st March, 2022.

TTrial Balance As on 31st March 2022

Debit Balance	Amount ₹	Credit balance	Amount ₹
Plant and machinery	120000	Capital	181500
Opening stock	120000	Sales	300000
Purchases	230000	Purchase return	10000
Discount	5000	Bank Loan	150000
Salaries	70000	Sundry creditors	66000
Legal Charges	500		
Rent and taxes	20000		
Sales Return	30000		
Freight	4000		
Bills Receivables	70000		
Interest	5000		
Cash in hand	5000		
General Expenses	8000		
Cash at Bank	20000		
	7,07,500		7,07,500

The following adjustments are to be made :

- a. Closing stock on 31-03-2022 was valued at ₹ 1,20,000.
- b. Interest on bank loan was outstanding of ₹ 7,000.
- c. Depreciate plant & Machinery at 10%.

As an Accountant you are required to prepare trading and profit and loss account for the year ended 31st March 2022 and a balance sheet as on that date.

7. The Trial Balance of Mr. PQR as on 31-3-2018 was as under.

Dr.		Cr.	
Particulars	Amount ₹	Particulars	Amount ₹
Plant & Machinery	78,000	Capital	2,00,000

Furniture	20,000	Sales	1,47,000
Purchases	60,000	Returns	750
Returns	3,000	Discount	800
Opening Stock	30,000	Creditors	30,625
Discount	425		
Sundry Debtors	1,45,000		
Salaries	7,550		
Wages	10,000		
Carriage outward	1,200		
Rent	10,000		
Advertisement	2,000		
Cash	12,000		
	3,79,175		3,79,175

Adjustments :

- Closing stock was valued at ₹ 54,220/-
- Provision for Bad Debts is to be kept ₹ 500/-
- Interest on capital at 5% p.a.
- Depreciate Plant & Machinery @ 10% p.a.
- The proprietor has taken goods worth ₹ 5,000/- for personal use and distributed goods worth ₹ 10,000/- as free samples.

Prepare Trading A/c, Profit & Loss A/c and Balance Sheet as on 31-3-2018.

Q3) Solve any one.

[10]

- From the following Trial Balance of Shri Vijay as on 31-3-2023 and additional information, Prepare Trading and profit and loss Account and Balance Sheet as at that date:

Trial Balance

Particulars	Dr. (₹)	Cr. (₹)
Opening Stock	10,000	
Capital		90,000
Debtors and creditors	12,000	7,000
Purchase and sales	80,000	1,40,000
Return	3,000	2,000
Carriage	1,600	
Wages and salaries	5,000	
Commission		2,600
Machinery	16,000	

Furniture	4,000	
Bad debts	1,600	
Proviision For		
Doubtful Debts		2,000
B/R and B/P	6,000	1,400
Taxes and Insurance	5,800	
Land & Buildings	80,000	
Bank	10,000	
Drawings	10,000	
	2,45,000	2,45,000

Additional Information:

- Value of closing stock as on 31/3/2023 is ₹ 8,000
- Insurance prepaid is ₹ 400 and wages oustanding is ₹ 200
- Provide for doubtful debts on the debtors @ 10%
- Depreciate machinery @10% and furniture @15%
- Goods of the value of ₹1,000 were taken by the proprietor for his own use but no entry was made in the books of account.

Q3) Solve any ONE:

(10 Marks)

- B) The following trial balance has been extracted from the books of Rajesh on 31st March, 2021.

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Debit Balance	Amount ₹	Credit Balance	Amount ₹
Drawings	44,000	Capital	1,76,000
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Opening stock	20,000	Provision for bad and doubtful debts	2,000
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The following adjustments are to be made:

- Stock on 31st March 2021 was ₹ 28,000.
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As an Accountant you are required to prepare trading and profit and loss account for the year ended 31st March 2021 and a balance sheet as on that date.

Solve any ONE :

- a) The following trial balance has been extracted from the books of M/s Jay & Co on 31st March, 2022.

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Opening stock	120000	Sales	300000
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Discount	5000	Bank Loan	150000
Salaries	70000	Sundry creditors	66000
Legal Charges	500		
Rent and taxes	20000		
Sales Return	30000		
Freight	4000		
Bills Receivables	70000		
Interest	5000		
Cash in hand	5000		
General Expenses	8000		
Cash at Bank	20000		
	7,07,500		7,07,500

The following adjustments are to be made :

- Closing stock on 31-03-2022 was valued at ₹ 1,20,000.
- Interest on bank loan was outstanding of ₹ 7,000.
- Depreciate plant & Machinery at 10%.